

Step 1: Understand the business challenge and project goal

Strategic Solution Proposal

Global Supply Chain Transformation & Tariff Resilience

GlobalTech Electronics Inc.

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Strategic solution proposal

Executive summary

In response to recent geopolitical developments and evolving trade regulations, the U.S. government has imposed a series of tariffs on imported goods, prompting reciprocal tariffs from key trading partners such as the European Union and China. This policy shift has introduced significant cost volatility for U.S.-based companies operating global supply chains.

Our organization, a U.S.-based electronics manufacturer with production facilities in Asia, is directly impacted by these changes. Key manufacturing components—such as semiconductors and steel casings—now incur import duties ranging from 15% to 25% when shipped to the U.S., substantially increasing our landed cost per unit.

Additionally, reciprocal tariffs levied on U.S. exports to markets such as the EU are beginning to erode our competitiveness abroad, putting downward pressure on margins and constraining market share.

This proposal outlines a strategic response to mitigate financial risks and operational disruptions by re-evaluating our sourcing strategies, warehouse positioning, and cost allocation frameworks. It also recommends enhancements to business analysis processes and supply chain visibility, enabling the organization to justify cost adjustments, preserve profitability, and maintain compliance amid an increasingly protectionist global trade environment.

Instructions for the problem statement / business challenge

For your proposal, clearly define the core business issue or opportunity. Include relevant background, affected stakeholders, and any key data points that emphasize the urgency or strategic relevance. We have provided a space below the “RACI matrix for stakeholders” table for you to record your answer. It will look similar to what you usually see in your *Project file*.

Key stakeholders and roles

Stakeholder	Role	Impact
Business Analyst	Analyze cost structures, model scenarios, assess process impact, communicate insights	Identifies cost drivers and justifies pricing adjustments; supports cross-functional alignment
Supply Chain Manager	Oversees sourcing, shipping routes, and logistics partnerships	Directly impacts landed cost, supplier risk exposure, and ability to reroute around tariffs
Procurement Lead	Negotiates with suppliers and ensures sourcing compliance	Can pivot sourcing strategies and reduce tariff exposure through supplier negotiations
Finance Controller	Owens budgeting, forecasting, and cost accounting	Quantifies financial impact of tariffs and supports decision-making with cost models
Warehouse Operations Manager	Manages inventory, fulfillment, and import/export logistics	Adjusts inventory positioning and ensures operational continuity under changing cost structures
Sales & Pricing Manager	Sets pricing strategies for various markets	Determines how and when tariff costs are passed to customers, protecting margins
Legal/Trade Compliance Officer	Ensures compliance with global trade regulations	Prevents legal risk, delays, and penalties due to tariff misclassification or non-compliance
IT/Data Analyst	Supports data integration, dashboards, and system configuration	Enables real-time visibility into tariff impacts via reporting and analytics tools
Executive Leadership	Approves strategies and oversees stakeholder communication	Final authority on investments, sourcing shifts, and customer pricing strategy

RACI matrix for stakeholders

Task / Activity	Business Analyst	Supply Chain Manager	Finance Controller	Legal/Compliance	Executive Leadership
Analyze tariff impact on cost structure	R	A	C	I	I
Propose new sourcing strategy	C	R	I	I	A
Update pricing model	C	I	R	I	A
Monitor regulatory changes	I	I	I	R	C
Implement system updates	C	I	C	I	A
Approve strategic decisions	I	C	C	I	R

How will you clearly define the core business issue or opportunity?

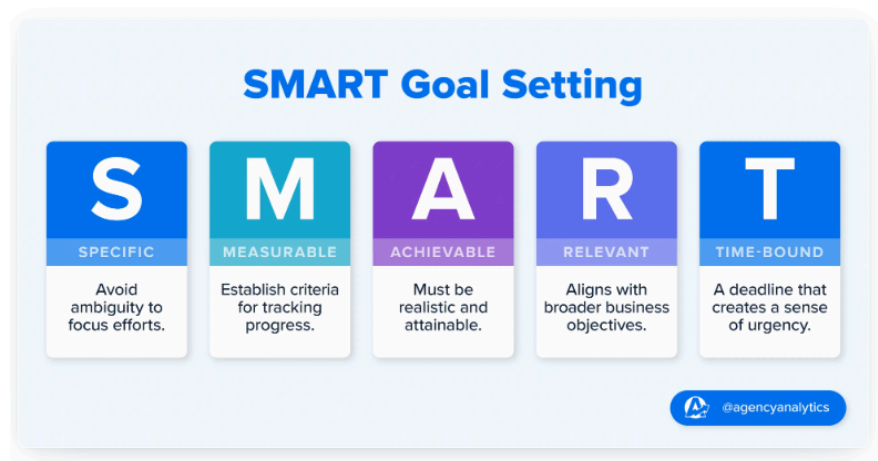
The Core Business Issue: The organization is facing a critical Total Landed Cost (TLC) crisis driven by newly imposed geopolitical trade regulations. Specifically, import duties of 15% to 25% on essential manufacturing components—semiconductors and steel casings—sourced from Asia have created immediate cost volatility and unsustainable margin erosion. This is compounded by reciprocal tariffs on exports to key markets like the EU, which are eroding international competitiveness and constraining market share.

Strategic Opportunity: This crisis presents a strategic opportunity to transform the supply chain from a rigid, single-source model into an agile, resilient global network. By re-evaluating sourcing strategies and warehouse positioning, the organization can leverage duty-free trade zones, such as Vietnam and Mexico, to bypass current tariffs. Furthermore, implementing enhanced business analysis tools, such as SAP Analytics

Cloud (SAC) dashboards, will provide real-time visibility into cost allocation, allowing the organization to justify pricing adjustments, preserve profitability, and maintain compliance in a protectionist trade environment.

Urgency and Relevance: The strategic relevance is underscored by the immediate need to protect corporate profitability while maintaining a footprint in key North American and European markets. The immediate implementation of this proposal is necessary to mitigate financial risks and prevent operational disruptions caused by the current tariff regime.

Goals and objectives



SMART Criteria	Objective
Specific	Reassess and optimize sourcing strategies specifically for high-tariff semiconductors and steel casings by diversifying to Vietnam and Mexico.
Measurable	Achieve a 10% reduction in Total Landed Cost (TLC) per unit and decrease tariff-related expenses by 15-20% .
Achievable	Leverage alternative suppliers in non-tariffed regions (USMCA zones) and implement SAP GTS for automated duty drawbacks.
Relevant	Aligns with the organizational mandate to preserve a 35% gross margin and

	maintain competitiveness in EU/NA markets.
Time-bound	Complete the comprehensive supply chain assessment and sourcing realignment within the next 90 days .

SWOT analysis

Once you complete reviewing this section, be ready to write down your response under “Proposed Solution Overview” and “Scope and Assumptions.” The answer section will look similar to your *Project file*.

SWOT Analysis



Strengths	Weaknesses
Global manufacturing network: Established Asia-based production provides scalable operational foundations.	Supply Chain Rigidity: Heavy reliance on specific high-tariff regions for semiconductors and steel casings.
Logistics Infrastructure: Robust warehousing footprint allows for flexible inventory repositioning.	Low Resilience: Limited short-term flexibility to pivot production lines or switch established vendors.
Financial Stability: Strong resources to absorb short-term shocks and fund digital transformation (SAP).	Data Silos: Incomplete digital visibility into real-time, tariff-adjusted landed costs.

Opportunities	Threats
Trade Zone Optimization: Shift sourcing to duty-free zones (Vietnam/Mexico) using USMCA benefits .	Geopolitical Volatility: Escalating trade wars causing unpredictable and rapid cost increases.
Near-shoring Strategy: Move assembly closer to end-markets (USA/EU) to bypass import duties.	Market Competitiveness: Potential loss of EU market share due to reciprocal tariffs on U.S. exports.
SAP Intelligence: Implement SAC dashboards for proactive pricing and SAP GTS for automated compliance.	Customer Churn: Reputational and sales risk if tariff-driven price increases are poorly managed.

Proposed Solution Overview

Solution Description & Components: Our proposed solution is a **Hybrid Supply Chain Resiliency Model** that integrates physical manufacturing diversification with digital trade optimization.

- **Production Diversification:** Transitioning 40% of the semiconductor and steel casing manufacturing volume to **Vietnam and Mexico** to leverage more favorable trade agreements and duty-free zones.
- **SAP GTS (Global Trade Services) Integration:** Implementing SAP GTS to automate tariff classification and compliance checks, ensuring accurate duty payments and reducing manual errors.
- **SAP Analytics Cloud (SAC) Dashboards:** Deploying real-time tariff intelligence dashboards to monitor "Landed Cost" fluctuations and provide executive-level visibility into margin erosion.

Strategic Alignment & Alternatives:

- **Alternatives Considered:** Absorbing costs (rejected due to unsustainable margin erosion) or full relocation to the U.S. (rejected due to high labor costs and lack of infrastructure).
- **Rationale:** The selected approach balances operational agility with financial stability. It minimizes immediate tariff impact while building a future-proof, diversified supply chain footprint.

Scope and Assumptions

Scope of the Solution:

- **Inclusions:** Re-evaluation of sourcing for high-tariff components (semiconductors, steel), implementation of SAC dashboards, and reconfiguration of the SAP ERP for tariff tracking.
- **Exclusions:** This solution does not cover the relocation of R&D facilities or the reassessment of low-priority non-tariffed components.
- **Geographic Focus:** Primarily targets North American and European Union market logistics and sourcing.

Key Assumptions:

- **Regulatory Stability:** It is assumed that trade agreements such as USMCA (for Mexico) will remain stable during the 18-month transition phase.
- **Supplier Availability:** We assume that qualified manufacturing partners with necessary technical capabilities are available in the target regions (Vietnam/Mexico).
- **System Readiness:** The existing SAP S/4HANA backbone is assumed to be compatible with the proposed GTS and SAC enhancements.

Implementation plan

Adjust the high-level implementation roadmap including key phases, timelines, resource requirements, and governance structure.

Key phases and timeline

Phase	Timeline	Deliverables
Phase 1: Initiation	Week 1	Project charter, stakeholder identification, and initial data gathering from SAP ERP.

Phase 2: Analysis	Weeks 2–3	Detailed "Total Landed Cost" impact analysis and comprehensive risk assessment.
Phase 3: Solution Design	Weeks 4–5	Development of alternative sourcing models (Vietnam/Mexico) and SAP Analytics Cloud (SAC) dashboard wireframes.
Phase 4: Review & Alignment	Week 6	Finalization of SMART objectives and SWOT analysis through executive stakeholder review.
Phase 5: Approval & Planning	Week 7	Approval of the strategic solution and preparation of the detailed technical implementation roadmap.
Phase 6: Execution Prep	Weeks 8–9	RACI matrix assignment, SAP GTS/S/4HANA system configuration updates, and operational readiness checklists.
Phase 7: Launch & Monitor	Week 10+	Deployment of sourcing changes and continuous monitoring of KPIs and automated risk triggers in SAC.

Resource requirements

- **Business Analyst:** Responsible for complex cost modeling, ensuring stakeholder alignment, and designing functional requirements for analytics.

- **Supply Chain & Procurement:** Executes global vendor research and develops a diversified sourcing strategy to mitigate tariff exposure.
 - **Finance Controller:** Conducts deep-dive cost-benefit analysis and manages margin erosion modeling using SAP data.
 - **Legal/Compliance:** Expert monitoring of international trade regulations and ensuring HS code accuracy.
 - **IT/Data Analyst:** Manages **SAP Analytics Cloud (SAC)** dashboard development and critical ERP system updates for tariff tracking.
 - **Executive Sponsor:** Provides strategic vision, final decision-making authority, and oversight of the transformation roadmap.
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Governance Structure

- **Executive Leadership:** Ultimate authority for strategic oversight and approval of major capital expenditures.
 - **Business Analyst:** Acts as the project coordinator, driving planning phases and facilitating cross-functional analysis.
 - **Supply Chain Manager:** Direct oversight of global logistics, shipping routes, and sourcing workstreams.
 - **Procurement Lead:** Lead negotiator for new supplier contracts in Vietnam and Mexico.
 - **Finance Controller:** Validates financial models and ensures pricing strategies protect the organization's bottom line.
 - **Warehouse Operations Manager:** Evaluates the feasibility of inventory positioning and rerouting in response to duty zones.
 - **Sales & Pricing Manager:** Ensures customer pricing remains competitive while reflecting tariff-adjusted costs.
 - **Legal/Trade Compliance Officer:** Primary gatekeeper for regulatory compliance and risk prevention.
 - **IT/Data Analyst:** Ensures technical integrity of SAC dashboards, SAP GTS configurations, and data automation.
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Readiness Checklist

- ☐ **SMART Objectives:** Define objectives specifically aligned with cost mitigation and sourcing.
- ☐ **Stakeholder Management:** Finalize the influence/impact matrix for all key players.

- [] **SWOT Integration:** Align identified strengths/opportunities directly with the proposed solution.
- [] **Risk Framework:** Complete the risk matrix with quantified likelihood and impact ratings.
- [] **RACI Matrix:** Finalize the accountability structure for each major project task.
- [] **Visual Documentation:** Ensure all flowcharts and SAC dashboard mockups are included.
- [] **Financial Modeling:** Verify that the "Total Landed Cost" and "Margin Erosion" models are accurate.
- [] **Document Compilation:** Assemble all editable tables (SWOT, SMART, Risk Log) into the final Project File.
- [] **Quality Review:** Conduct a final check for completeness, including the executive summary and success metrics.
- [] **Final Packaging:** Format the proposal for professional delivery (Word/PDF/Slides).

Impact analysis

Assess the expected financial, operational, and organizational impacts. Include estimates like ROI, cost savings, or performance improvements.

Financial Impact:

- **Cost Savings:** By diversifying 40% of our sourcing to Vietnam and Mexico, we expect to reduce total import duty expenses by approximately 15-20% within the first 18 months.
- **Return on Investment (ROI):** The initial investment in SAP GTS and SAC integration is projected to break even within 12 months, primarily driven by recovered gross margins and the reduction of manual compliance errors.
- **Margin Preservation:** The strategy aims to recover a significant portion of the 13% margin loss caused by the current tariff regime, stabilizing our long-term financial health.

Operational Impact:

- **Lead Time Optimization:** Diversifying warehouse positioning and sourcing closer to end-markets is expected to result in a 10% reduction in delivery lead times for the North American and EU markets.
- **Supply Chain Visibility:** The implementation of SAP Analytics Cloud (SAC) will provide real-time, end-to-end visibility into the Total Landed Cost (TLC), enabling proactive rather than reactive decision-making.

- **Compliance Efficiency:** Automating trade compliance through SAP GTS will reduce the risk of inaccurate tariff classifications and minimize customs clearance delays.

Organizational Impact:

- **Strategic Agility:** The organization will shift from a rigid, single-source dependency to a resilient, multi-hub sourcing model capable of adapting to future geopolitical shifts.
- **Data-Driven Culture:** Enhanced business analysis processes will empower key stakeholders, such as Sales and Procurement leads, with justified cost adjustment data to protect market share effectively.
- **Risk Mitigation:** The improved sourcing and logistics framework will significantly decrease our exposure to protectionist global trade volatility.

Risk assessment and mitigation

Identify key risks and propose mitigation strategies. Consider including a risk matrix or categories of risk (technical, strategic, financial).

Risk	Likelihood	Impact	Mitigation Strategy
Increased tariff rates on key components	High	High	Accelerate transition to Vietnam/Mexico suppliers and renegotiate long-term contracts with tariff-inclusive clauses.
Reciprocal tariffs reducing export competitiveness	Medium	High	Adjust regional pricing models; utilize SAP Global Trade Services (GTS) for duty drawback programs to reclaim costs.
Delayed customs clearance due to new regulations	Medium	Medium	Enhance digital documentation flow via SAP systems; partner with licensed trade compliance firms.
Inaccurate tariff classification	Low	High	Implement automated HS code validation in SAP; conduct cross-functional training with Legal and IT.

System misalignment in cost tracking	Medium	Medium	Update SAP S/4HANA condition types ; deploy SAC (SAP Analytics Cloud) for real-time Landed Cost visibility.
Resistance to price increases by customers	High	High	Provide Sales teams with data-backed justification reports; build margin buffers using dynamic pricing.
Inventory holding cost increases	Medium	Medium	Recalculate Economic Order Quantities (EOQ) based on new tariff costs; optimize warehouse placement in duty-free zones.
Limited flexibility in supplier contracts	Medium	High	Implement a Dual-Sourcing Strategy ; include "Force Majeure" or tariff-adjustment clauses in future vendor agreements.

KPIs and Success Metrics

List measurable success indicators. Include current baselines (if any) and expected improvements after solution deployment.

- **Tariff Cost Reduction:** Achieve a 15–20% reduction in total import duty expenses on semiconductors and steel casings within 18 months.
- **Total Landed Cost (TLC) Stability:** Decrease the volatility of landed cost per unit by 12% through diversified sourcing and automated SAP GTS monitoring.
- **Supply Chain Lead Time:** Improve delivery timelines to the EU and North American markets by 10% compared to current baselines.

- **Production Diversification Index:** Successfully transition 40% of critical component sourcing to non-tariffed regions (Vietnam and Mexico) within the first 12 months.
 - **Compliance Accuracy:** Achieve 99.5% accuracy in tariff classifications using SAP Global Trade Services, minimizing customs delays and penalties.
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Conclusion and Recommendation

Summarize the strategic case for the solution and reiterate key benefits. Conclude with a call to action or approval request.

Strategic Case Summary: The imposition of 15–25% tariffs has created an unsustainable financial environment for our current Asia-centric supply chain model. To preserve our 35% gross margins and maintain competitiveness in the EU and North American markets, a proactive transformation is mandatory. This solution mitigates immediate financial risks by diversifying our sourcing footprint and leverages SAP technologies (SAC and GTS) to provide the data-driven visibility required for modern trade compliance.

Key Benefits:

- Significant reduction in tariff-driven cost increases and margin erosion.
- Enhanced organizational agility to respond to future geopolitical and regulatory shifts.
- Improved operational efficiency through automated trade management and real-time analytics.

Recommendation & Call to Action: It is recommended that Executive Leadership approves the immediate commencement of **Phase 1: Initiation and Feasibility Study**. Delays in execution will result in further market share erosion; therefore, securing the budget for the SAP GTS integration and regional supplier audits is critical for our long-term fiscal health.

Appendices (Optional)

Include any supplementary materials: diagrams, financial breakdowns, benchmark data, stakeholder input, or technical visuals.

- **Appendix A: RACI Matrix:** Detailed breakdown of responsibilities for the Business Analyst, Supply Chain Manager, and Finance Controller during the transition.

- **Appendix B: High-Level Implementation Roadmap:** A 10-week detailed phase plan from initiation to launch and monitoring.
- **Appendix C: Risk Mitigation Log:** Comprehensive matrix identifying high-likelihood risks such as inventory holding cost increases and their corresponding mitigation strategies.
- **Appendix D: SAP Solution Architecture:** Visual representation of the integration between SAP S/4HANA, SAP Global Trade Services (GTS), and SAP Analytics Cloud (SAC) for tariff intelligence.